# RAM ENTERPRISE P&P – 03_LEASING

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## Distribution List

| Department | Access |
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| **Board** | Full |
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| **Departments** | Relevant sections |

## Document Hierarchy

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Level 1 – Policy
Level 2 – Procedure
Level 3 – Work Instruction
Level 4 – Forms / Templates
```

## Contents

**RAM ENTERPRISE P&P – 03_LEASING** ..... 1
**03_LEASING** ..... 4
**03.1 Leasing Strategy & Portfolio Planning** ..... 4
**03.1.1 Leasing Policy** ..... 4
**03.1.1.1 Leasing Objectives** ..... 4
**03.1.1.2 Portfolio Segmentation** ..... 4
**03.1.1.3 Rental Strategy** ..... 4
**03.1.1.4 Delegation of Authority (DoA)** ..... 4
**03.2 Tenant Acquisition & Marketing** ..... 5
**03.2.1 Tenant Targeting Procedure** ..... 5
**03.2.1.1 Lead Generation** ..... 5
**03.2.1.2 Tenant Pre-Screening** ..... 5
**03.2.1.3 Tenant Risk Rating** ..... 5
**03.3 Lease Structuring & Negotiation** ..... 5
**03.3.1 Commercial Terms Structuring** ..... 5
**03.3.1.1 Core Lease Terms** ..... 5
**03.3.1.2 Financial Modeling** ..... 5
**03.3.1.3 Incentives Governance** ..... 6
**03.4 Lease Approval & Contracting** ..... 6
**03.4.1 Lease Approval Workflow** ..... 6
**03.4.1.1 Internal Review** ..... 6
**03.4.1.2 Risk & Compliance Check** ..... 6
**03.4.1.3 Approval Committee** ..... 6
**03.4.1.4 Contract Execution** ..... 6
**03.5 Lease Administration & Monitoring** ..... 7
**03.5.1 Lease Setup Procedure** ..... 7
**03.5.1.1 ERP Registration** ..... 7
**03.5.1.2 Billing & Collection** ..... 7
**03.5.1.3 Deposit Management** ..... 7
**03.6 Lease Performance & Renewal** ..... 7
**03.6.1 Performance Monitoring** ..... 7
**03.6.1.1 KPI Tracking** ..... 7
**03.6.1.2 Tenant Evaluation** ..... 8
**03.6.1.3 Renewal Decision Matrix** ..... 8

**03.7 Termination & Exit Management** ..... 8
**03.7.1 Lease Termination Procedure** ..... 8
**03.7.1.1 Expiry Process** ..... 8
**03.7.1.2 Early Termination** ..... 8
**03.7.1.3 Unit Handover** ..... 8
**03.8 Leasing Risk & Control Matrix (Aligned with COSO & ISO 37301)** ..... 9
**03.9 BPMN Logical Flow (Textual Representation)** ..... 9
**Integration Points with Other RAM Sections** ..... 9

# 03_LEASING

*(RAM Policies & Procedures Manual – WBS Structured Framework)*

This section is structured in full WBS coding aligned with governance logic, risk control, and operational traceability (ready for integration with 01_Governance and 02_Investment).

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# 03.1 Leasing Strategy & Portfolio Planning

## 03.1.1 Leasing Policy

**Purpose:**
Define leasing objectives, tenant mix philosophy, pricing approach, and risk thresholds.

### 03.1.1.1 Leasing Objectives

- Revenue maximization vs. occupancy optimization
- Target occupancy rate (%)
- WALE (Weighted Average Lease Expiry) target
- Tenant credit quality threshold

### 03.1.1.2 Portfolio Segmentation

- Asset class (Retail / Office / Mixed-use / Industrial)
- Tenant category (Anchor / SME / Corporate / Government)
- Geographic clustering strategy

### 03.1.1.3 Rental Strategy

- Market benchmarking mechanism
- Indexation rules
- Turnover-based leasing policy
- Incentive framework (fit-out period, rent-free, step-up rent)

### 03.1.1.4 Delegation of Authority (DoA)

- Leasing Manager approval limit
- Leasing Committee approval threshold
- Board approval threshold

**Forms:**

- F03.1 Leasing Strategy Approval Form
- F03.2 Market Benchmark Template

# 03.2 Tenant Acquisition & Marketing

## 03.2.1 Tenant Targeting Procedure

### 03.2.1.1 Lead Generation

- Brokerage engagement
- Direct outreach
- Digital listing platforms

### 03.2.1.2 Tenant Pre-Screening

- Business profile review
- Financial strength check
- Reputation assessment
- Strategic fit scoring

### 03.2.1.3 Tenant Risk Rating

- Credit score classification (A/B/C/D)
- Industry exposure cap
- Concentration ratio analysis

**Forms:**

- F03.3 Tenant Application Form
- F03.4 Tenant Risk Assessment Matrix

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# 03.3 Lease Structuring & Negotiation

## 03.3.1 Commercial Terms Structuring

### 03.3.1.1 Core Lease Terms

- Lease duration
- Rental rate (base + variable)
- Escalation clause
- Security deposit
- Fit-out contribution

### 03.3.1.2 Financial Modeling

- IRR impact
- NPV calculation
- Sensitivity (vacancy, default risk)
- Cashflow forecast impact

#### 03.3.1.3 Incentives Governance

- Rent-free approval process
- Cap on incentives (% of lease value)
- Payback analysis

**Forms:**

- F03.5 Lease Commercial Terms Sheet
- F03.6 Lease Financial Impact Sheet

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# 03.4 Lease Approval & Contracting

## 03.4.1 Lease Approval Workflow

#### 03.4.1.1 Internal Review

- Leasing Manager sign-off
- Legal review
- Finance validation

#### 03.4.1.2 Risk & Compliance Check

- AML screening
- Sanctions list check
- Regulatory compliance validation

#### 03.4.1.3 Approval Committee

- Documentation pack submission
- Voting record
- Approval minutes

#### 03.4.1.4 Contract Execution

- Contract drafting
- Signature authority verification
- Digital archiving

**Forms:**

- F03.7 Lease Approval Memo
- F03.8 Legal Clearance Form
- F03.9 Lease Execution Checklist

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# 03.5 Lease Administration & Monitoring

## 03.5.1 Lease Setup Procedure

### 03.5.1.1 ERP Registration

- Tenant master file creation
- Rent schedule input
- Indexation automation

### 03.5.1.2 Billing & Collection

- Invoice generation cycle
- Payment monitoring
- Grace period management
- Penalty calculation

### 03.5.1.3 Deposit Management

- Deposit custody control
- Reconciliation
- Refund policy

**Forms:**

- F03.10 Lease Data Entry Form
- F03.11 Rental Collection Tracker

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# 03.6 Lease Performance & Renewal

## 03.6.1 Performance Monitoring

### 03.6.1.1 KPI Tracking

- Occupancy rate
- Collection rate
- WALE
- Tenant turnover ratio

#### 03.6.1.2 Tenant Evaluation

- Payment behavior score
- Strategic value score
- ESG compliance (if applicable)

#### 03.6.1.3 Renewal Decision Matrix

- Market revaluation
- Repricing scenario
- Retention vs replacement analysis

**Forms:**

- F03.12 Lease Performance Dashboard
- F03.13 Renewal Recommendation Memo

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# 03.7 Termination & Exit Management

## 03.7.1 Lease Termination Procedure

#### 03.7.1.1 Expiry Process

- Notice timeline tracking
- Inspection checklist
- Reinstatement validation

#### 03.7.1.2 Early Termination

- Penalty calculation
- Legal claim evaluation
- Asset recovery plan

#### 03.7.1.3 Unit Handover

- Snag list
- Damage assessment
- Deposit adjustment

**Forms:**

- F03.14 Termination Notice Template
- F03.15 Handover Inspection Report

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# 03.8 Leasing Risk & Control Matrix (Aligned with COSO & ISO 37301)

| Risk ID | Risk Description | Control Type | Control Owner | Frequency | Evidence |
|---|---|---|---|---|---|
| **L-01** | Leasing below market | Preventive | Leasing Manager | Per deal | Benchmark report |
| **L-02** | Tenant default | Preventive | Finance | Quarterly | Credit review |
| **L-03** | Unauthorized incentive | Preventive | Leasing Committee | Per approval | Approval memo |
| **L-04** | Contract legal gap | Preventive | Legal Dept | Per contract | Legal clearance |
| **L-05** | Revenue leakage | Detective | Finance | Monthly | Collection report |

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# 03.9 BPMN Logical Flow (Textual Representation)

```
Lead Generated → Tenant Screening → Risk Rating →
Commercial Structuring → Financial Modeling →
Internal Review → Committee Approval →
Contract Execution → ERP Setup → Billing → Monitoring →
Renewal or Termination
```

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# Integration Points with Other RAM Sections

- Linked to **02_Investment** → Rental assumptions in asset valuation
- Linked to **04_Facility_Management** → Tenant operational coordination
- Linked to **06_Performance** → Revenue & occupancy KPIs
- Linked to **07_Risk_Compliance** → AML & legal compliance

Forms and templates

End of Document